BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

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In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 23-G-0225 & 23-G-0226

September 1, 2023

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Prepared Testimony of:

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State of New York
Department of Public Service
Three Empire State Plaza
Albany, New York 12223-1350

Q. Please state your name, employer, and business addresses?

A. My name is Paul J. Darmetko Jr., I am employed by the New York State Department of Public Service, DPS or Department. My business address is Three Empire State Plaza, Albany, New York 12223-1350.

Q. What is your position at the Department?

A. I am employed as a Chief Utility Electric Programs in the Upstate Rates and Tariff Section of the Office of Rates and Tariffs.

Q. Please summarize your educational and professional experience.

A. I graduated from the State University of New York Institute of Technology at Utica/Rome with a Bachelor of Science Degree in Civil Engineering Technology in 2003. I have been employed by the Department since October 2005. During my tenure at the Department, I have held positions of increasing responsibility. In August 2023, I was promoted to my current position as Chief Utility Electric Programs in the Upstate Rates and Tariffs Section. Throughout my employment with the Department, I

have analyzed, reviewed, and prepared reports and studies involving operating revenues, operation and maintenance expense, capital budgets, depreciation, cost of service, revenue allocation, rate design, and sales forecasts.

Q. Mr. Darmetko, please describe your present responsibilities with the Department.

A. As a Chief Utility Electric Programs, I am responsible for the performance, review and supervision of other Staff members in the section on engineering analysis of utility operations as they relate to the ratemaking process. My current responsibilities include providing engineering analysis and recommendations in rate proceedings, reviewing and making recommendations to the Commission on filed petitions, and examining utility processes and operations to ensure compliance with the Public Service Law and the policies of the Department.

Q. Have you previously provided testimony before the Commission?

A. Yes, I provided testimony in Cases 22-E-0317, 22-G-0318, 15-E-0283, and 09-E-0715, regarding

New York State Electric & Gas Corporation; Cases 22-E-0319, 22-G-0320, 15-E-0285, and 09-E-0717, regarding Rochester Gas and Electric Corporation; Case 14-E-0318, regarding Central Hudson Gas & Electric Corporation; Case 14-E-0270, regarding R.E. Ginna Nuclear Power Plant, LLC; Cases 20-E-0380, 20-G-0381, 17-E-0238, 17-G-0239, 10-E-0050, and 08-G-0609, regarding Niagara Mohawk Power Corporation d/b/a National Grid; Cases 18-E-0067, and 10-E-0362, regarding Orange and Rockland Utilities, Inc.; Cases 19-E-0065, 16-E-0060, and 08-E-0539, regarding Consolidated Edison Company of New York, Inc.; and Case 08-E-1227, regarding Plattsburgh Municipal Lighting Department. In these proceedings, I provided testimony regarding cost of service, capital budgets, rate base, depreciation, rate design, and other revenue requirement and policy issues.

Q. What is the purpose of your testimony in these proceedings?

A. In my testimony I will respond to the testimony submitted by the Companies' witness Mr. Ned W. Allis, or Mr. Allis and I will: (1) explain

basic depreciation terms and concepts and their respective roles; (2) provide a summary of recommended changes from The Brooklyn Union Gas Company d/b/a National Grid, or KEDNY and KeySpan Gas East Corporation d/b/a National Grid, or KEDLI, referred to collectively as the Companies, proposed depreciation expense levels for the 12-months ending March 31, 2025, the Rate Year, based on my review of the 2022 gas depreciation studies prepared by Gannett Fleming Valuation and Rate Consultants, LLC, or Gannett Fleming; (3) discuss the Companies' proposed recommendations to phase in to the recommended depreciation rates over four and two years for KEDNY and KEDLI respectively; (4) present my recommendations for average service lives, survivor curves and average net salvage factors for several accounts that differ from what the Companies have proposed; (5) discuss the Companies' recommended treatment of the calculated reserve deficiencies, and my recommended treatment; (6) discuss the Companies' proposals regarding the amortization of the estimated net plant associated with Leak

Prone Pipe, or LPP, and my recommended treatment; and, (7) discuss the Companies' proposals to establish a rate mechanism in the event of multi-year rate plans in these proceedings, that would allow them to implement any Commission policy determination in the Gas Planning Proceeding in Case 22-G-0131 regarding depreciation expense.

Q. In this testimony, will you refer to, or otherwise rely upon, any information produced during the discovery phase of this proceeding?

A. Yes, I will refer to, and have relied upon, several responses to Department Staff's Information Requests, or IRs. These responses are included in Exhibit___(PJD-1) and are referred to by their designation assigned by the Department, for example, DPS-399.

Q. Are you sponsoring any other exhibits?

A. Yes, I am also sponsoring the following exhibits: Exhibit___(PJD-2) contains current, company proposed, and my recommended depreciation rates and expenses for all depreciable gas plant accounts, based on gross plant balances as of December 31, 2021.

Exhibit___(PJD-3) contains a comparison of present, company proposed, and my recommended average service lives, as well as a short description of the rationale behind my recommended changes for each account that differ from what the Companies have proposed. Exhibit___(PJD-4) contains a survivor curve comparison between current, company proposed, and my recommended curve shapes for each company. Exhibit___(PJD-5) contains a comparison of present, company proposed, and my recommended net salvage factors as well as a short description of the rationale behind my recommended changes for each account that differ from what the Companies have proposed. Exhibit___(PJD-6) contains a comparison of the book reserve to the company proposed and my recommended theoretical reserves for each company. Finally, Exhibit___(PJD-7) contains a visual comparison of the company proposed smooth survivor curves and my recommended smooth survivor curves, plotted against the observed curves for each account that differ from what the Companies have proposed.

Q. Please explain the terms “depreciation” and “net salvage” as used in ratemaking.

A. Depreciation, as used in ratemaking, is a method of recovering capital costs, less net salvage, related to plant-in-service over the expected useful life of the plant. In its most basic terms, it is the allocation of the value of utility plant consumed by customers, in each year of the assets expected life, inclusive of an estimate of net salvage. Net salvage is any cash received for a removed asset, less the cost to remove it.

Q. Please explain the term “net salvage factor.”

A. Net salvage factor refers to the component of the depreciation rate that allows recovery of estimated net salvage. It is expressed as a percentage, based on original cost of plant. For example, assume that a unit of property has a total installed cost of $1,000, $0 estimated future salvage, and estimated cost of removal of $500. The net salvage factor is calculated as follows: Rate = ($0 - $500) / $1,000. This equates to a negative 0.50, or negative 50 percent net salvage factor.

Q. Please explain the term "average service life."
A. Average service life is the arithmetic average of the length of the lives of the units of property in a specific account. It equates to the area under the survivor curve from age zero to the maximum life divided by 100 percent. A survivor curve is a graphical depiction that represents the percentage plant surviving in each age interval.
Q. Please explain the term "depreciation rate."
A. A depreciation rate is a percentage rate that is applied to the value of gross plant-in-service, by account, in order to determine the annual depreciation expense.
Q. Please explain the term "depreciation expense."
A. Depreciation expense, in any given year, is the product of gross plant-in-service multiplied by the applicable depreciation rate. Depreciation expense allows for the recovery of an investment, less net salvage, over the expected life of the investment.
Q. What is the "book reserve"?
A. The book reserve is the continued accumulation of the annual depreciation expense accruals,

less retirements (at original cost) and actual cost of removal, plus any actual salvage received. The book reserve is calculated by plant account and subtracted from the gross plant, or the original cost of the plant, to calculate the net plant, or the remaining plant balance that is not yet depreciated.

Q. What is the "theoretical reserve" or calculated reserve?

A. The theoretical reserve is the cumulative amount of depreciation expense that should have been collected as of a particular date, given the average service lives, survivor curves, and net salvage factors used to determine the proposed depreciation rates.

Q. How are the depreciation rates calculated?

A. The rates are calculated differently depending on the depreciation system used. Each system is composed of a method, a procedure, and a technique.

Q. What depreciation system did KEDNY and KEDLI use for their plant accounts in the studies submitted in these cases?

A. KEDNY and KEDLI used the straight line method,

broad group procedure, and whole life technique for the majority of their depreciable accounts.

Q. Please explain how the account specific depreciation rates are calculated under this system.

A. Under this depreciation system, the depreciation rates are calculated using the following formula:

Rate = (1-Net Salvage)/(Average Service Life).

For example, if the net salvage factor is negative 50 percent and the average service life for a plant account is 50 years, then the depreciation rate would be: R = (1-(-0.5)) / 50. In such a case, the depreciation rate would equal 0.03, or 3.0 percent for a specific plant account.

Q. How are the account specific depreciation rates used to determine adjustments to depreciation expense?

A. For ratemaking purposes, the account specific depreciation rates were used to compute composite depreciation rates, which are weighted average rates based on gross plant-in-service as of a specific date. In these proceedings, both

the Companies and DPS Staff used the plant balances as of March 31, 2023. These composite rates were computed and used by the DPS Staff Gas Infrastructure and Operations Panel to calculate the adjustments to Rate Year depreciation expense. These adjustments were also provided to the DPS Staff Revenue Requirements Panel for inclusion in Department Staff's recommended revenue requirement.

Q. Based on your review of the information contained in the gas depreciation studies provided, what do you recommend?

A. After evaluating the data for the gas plant accounts, I recommend that the Commission adopt different rates than KEDNY proposed for all twelve gas storage plant accounts, four of the seven gas transmission plant accounts, five of the eighteen distribution plant accounts, and one of three general plant accounts. For KEDLI I recommend the Commission adopt different rates for twelve of thirteen gas storage plant accounts, four of the six gas transmission plant accounts, and nine of the thirteen distribution plant accounts. Exhibit___(PJD-2) contains

current, company proposed, and my recommended depreciation rates and expenses for all depreciable gas plant accounts, based on gross plant balances as of December 31, 2021.

Q. Please briefly summarize your recommendations regarding depreciation expense in the Rate Year.

A. Based on the depreciation factors I recommend for gas plant at KEDNY, the proposed increase in depreciation expense forecast for the Rate Year should be reduced by $6.257 million, from $211.016 million to $204.759 million. For KEDLI, the proposed increase in depreciation expense forecast for the Rate Year should be reduced by $6.307 million, from $146.152 million to $139.845 million. These figures include the Staff Gas Infrastructure and Operations Panel's recommended changes to Rate Year plant-in-service balances and the allocation of Common plant, my agreement with the Companies' amortization treatment of LPP, my agreement with the Companies' proposals to phase into full depreciation rates over four and two years for KEDNY and KEDLI respectively. The effect of the phase-ins only allows one quarter and one half

of the depreciation rate change, for KEDNY and KEDLI respectively, to impact the depreciation expense in the Rate Year. These phase-ins were taken into account as I reviewed the depreciation studies.

Q. How did you take the phase-ins into account?

A. The phase-ins influenced certain judgments I made concerning gradualism, which I will discuss later in my testimony. If the Commission were to reject the phase-ins, I would recommend more conservative movements, specifically with regard to changes in net salvage factors compared to what the Companies and I have proposed in these proceedings, likely limiting the change to no more than about ten percentage points for any individual account from the presently approved net salvage factors.

**Average Service Lives and Survivor Curves**

Q. How did you arrive at your recommended average service lives and survivor curves?

A. I reviewed the mortality data provided in the depreciation studies, as well as plots of the original and smooth survivor curves proposed by the Companies. Additionally, I reviewed the

account descriptions and Mr. Allis's assessments of each account included in the depreciation studies, information obtained in interviews with company personnel conducted by Mr. Allis provided in the Companies' response to DPS-399 question 1, photographs of plant equipment condition provided in response to DPS-399 question 2, as well as reviewing other gas companies' depreciation factors approved by the Commission.

Q. What adjustments do you recommend to the survivor curves and average service lives for the gas storage accounts, compared to what the Companies have proposed?

A. For both KEDNY and KEDLI, I recommend the Commission approve the average service lives and survivor curves proposed by the Companies for the gas storage accounts related to the Greenpoint Energy Center and the Holtsville LNG plants. However, I recommend the Commission reject the Companies' proposed change to the Life Span method for these accounts.

Q. What is the Life Span method, and why do you recommend the Commission reject its use for

these accounts in these proceedings?

A. Under the Life Span method the analyst assumes that all surviving plant from an entire depreciable group will retire at the same point in time. This method has sometimes been approved by the Commission, but never before for KEDNY and KEDLI, mainly for large facilities like power stations and storage facilities that have relatively known probable retirement dates, based on management plans or Federal Energy Regulatory Commission licensing dates, etc. In those instances, the accounts had relatively firm probable retirement dates of the facilities within the account, and no major capital spending planned. In the instant proceedings, the Companies have proposed significant capital project spends at these facilities which calls into question the probable retirement date of December 2041 proposed for both facilities by the Companies. As such, I do not recommend the change to this method in these proceedings. However, the average service lives and survivor curves proposed by the Companies appear reasonable and should be approved by the

Commission.

Q. Do you have further recommendations or adjustments to the average service lives and survivor curves for other gas plant accounts based on your review of the studies?

Q. Yes. For KEDNY I recommend the Commission maintain the present average service lives for three storage plant accounts. These are accounts 361.03, 362.04, and 363.02. For KEDNY I recommend the Commission Approve the average service lives of all seven gas transmission accounts. I do, however, recommend different survivor curve shapes based on their fit to the observed data being more closely aligned than those proposed by KEDNY for certain accounts. These are accounts 367.06, 367.07/367.08, and 367.00/367.09. For KEDNY I recommend the Commission approve all gas distribution account average service lives and survivor curves proposed by KEDNY, with the exception of the service life for account 376.05 and the curve shape for account 381.04. For KEDLI, I recommend different average service lives for five storage plant accounts, 363.04, 363.05,

361.03, 362.05, and 363.05, and different survivor curve shapes for three accounts, being 363.05, 361.03, and 363.05. For KEDLI transmission plant accounts, I recommend different average service lives for three, accounts 366.00, 367.09, and 368.00, and a different curve shape for one, account 367.09. For KEDLI distribution plant accounts, I recommend different average service lives and survivor curve shapes for the following accounts, 376.08, 376.18, 378.00, 382.02, 383.00, 384.00. Exhibit___(PJD-3), contains a comparison, by account, between the current, company proposed average service lives and my recommended average service lives for the production, storage, transmission, distribution, and general plant accounts, as well as a short summary of my basis for selecting them for each company. Exhibit___(PJD-4) contains a comparison by account, between the current, company proposed and my recommended survivor curves.

**Net Salvage**

Q. Please describe the information contained in the

depreciation studies regarding net salvage.

A. The studies contain, for each plant account and year included in each study, the original cost of plant retired, the amount of salvage received, the cost each Company incurred to remove the assets, and the net salvage amount, which is the sum of the amount of salvage received by each Company and the cost to remove the assets. For each year each study also shows, as a percent of original cost retired, the salvage received, the cost of removal, and net salvage, as well as the three year moving average, and most recent five year average of each.

Q. Please discuss the method used to determine the average net salvage factors you recommend.

A. I reviewed the Companies' present net salvage amounts in dollars and percentages, net salvage factors for other utilities throughout the State, and prior Commission decisions with regard to net salvage factors. I reviewed the salvage figures provided in the studies for trends in the historic net salvage data, including the relationship between net salvage

as a percentage of the original cost of plant retired each year, as well as the three year moving averages and five year average of the actual cost of removal. For accounts where trends indicate that net salvage is becoming more or less negative, I recommend modifying the net salvage factors used in the computation of the deprecation rate. For example, for account 377.00 at KEDLI, I recommend that the Commission decrease the negative net salvage factor by ten percentage points, which makes the net salvage factor more negative and increases the depreciation rate and cost recovery associated with net salvage. Where no trends are apparent and net salvage has been negative, I compared the five-year average of annual net salvage, to the annual net salvage accrual presently being recovered through the depreciation rate. If the five-year average of actual net salvage is more negative than what is presently being recovered through the depreciation rate, I recommend making the net salvage rate more negative. In instances where the data demonstrates that a company annually accrues significantly more than

what is presently needed or has ever been needed for net salvage cost, or the trend indicates that less negative net salvage is needed, I recommend making the net salvage factors less negative. I generally recommend limiting the changes to the net salvage factors for each plant account to no more than ten percentage points to incorporate gradualism. However, because I agree with the Companies' proposals to phase into the depreciation rates gradually over four and two years for KEDNY and KEDLI respectively in these proceedings, I have deviated from this in some instances where it was reasonable to do so, especially for accounts that presently have no net salvage built into the depreciation rate.

Q. Why do you normally recommend limiting the change in the net salvage factors used in calculating the depreciation rates?

A. Net salvage can and does vary significantly between depreciation studies due to a variety of factors including, but not limited to: the age of the assets retired, the quantity of the assets retired, the quality or value of the

assets retired, the cost of labor needed to remove the assets, type of equipment utilized to remove assets, as well as other factors. I recommend making gradual changes to minimize the significant fluctuations in depreciation rates from case to case. Since net salvage can be inconsistent, where, for a given account a company may experience significant negative net salvage in some years, and little to no negative net salvage, or even positive net salvage in other years, it is reasonable to avoid extreme or abrupt changes. I generally recommend taking limited steps in the indicated direction based on the results of the depreciation study.

Q. Please discuss the net salvage adjustments you propose for gas accounts.

A. Compared to the net salvage rates proposed by KEDNY, I recommend increasing, that is, making less negative, the net salvage rates on four transmission plant accounts, 367.05, 367.06, 367.07/367.08, and 367.00/367.09, five distribution plant accounts, 376.01, 376.09, 376.05, 376.07, and 376.18. I recommend decreasing, that is, making more negative one

general plant account 396.00. Compared to the net salvage rates proposed by KEDLI, I recommend decreasing the net salvage rate on two storage accounts, 361.03 and 362.05, and one distribution plant account 377.00. Further I recommend increasing the net salvage rates on two transmission plant accounts, 367.04 and 367.09, and five distribution plant accounts 374.03, 376.08, 376.10, 376.18, and 378.00. A comparison of the present, company proposed and my recommended net salvage factors, as well as a short description of my rationale for my recommendation can be found in Exhibit___(PJD-5).

**Reserve Deficiency**

Q. Please explain the process of comparing the book reserve to the theoretical reserve.

A. When a depreciation study is performed, the current book reserve is compared to the proposed theoretical reserve. The proposed theoretical reserve incorporates any changes to the survivor curves, average service lives, and net salvage factors associated with the study. Typically, if the difference between the book reserve and

the theoretical reserve is within ten percent, no adjustment is made to amortize the over- or under-accruals. However, if the difference is greater than ten percent, an adjustment can be made to amortize some or all of the difference between theoretical and book reserves.

Q. How is the adjustment incorporated into a utility's rates?

A. If the book reserve is less than the theoretical reserve, some or all the difference could be included in rates as an amortization, with the intent of reducing the deficiency. The use of a ten percent threshold and the rate treatment are discretionary.

Q. How have the Companies proposed to treat the calculated depreciation reserve deficiencies?

A. For KEDNY, the depreciation factors selected by the company produce a calculated theoretical reserve deficiency of $397.968 million, or a deficiency of 27 percent of the book reserve. For KEDLI, the deprecation factors selected by the company produce a calculated theoretical reserve deficiency of $595.015 million, or a deficiency of 73 percent of the book reserve.

As discussed on pages 28 to 29 of Mr. Allis' direct testimony, the Companies proposes to amortize the gas reserve deficiencies in excess of 10 percent of the book reserve, over a 20-year period which is generally consistent with past Commission practice. The Commission recently adopted a similar treatment in its Order Adopting Terms of Joint Proposal an Establishing Electric and Gas Rate Plans with Additional Requirements, issued on July 30, 2023, in the most recent Consolidated Edison Cases, 22-E-0064, and 22-G-0065, or 2023 Con Ed Rate Order. Further, as discussed in the Companies' Policy Panel and Revenue Requirement Panels testimonies, they propose beginning the recoveries in what the Companies refer to as Data Year 1, or DY1, or Fiscal Year, or FY 2026, which is the 12-months ending March 31, 2026. The Companies have proposed to begin the amortization in FY 26 in an effort to mitigate the rate impacts of these proceedings which are substantial.

Q. Assuming the Commission accepts the depreciation factors the Companies proposes in these

proceedings and the Companies' calculation of the theoretical reserve difference, for the sake of argument, do you agree with how the proposed amortizations are structured?

A. Yes. As I previously stated, typically, if the difference between the book reserve and the theoretical reserve is within plus or minus ten percent, no adjustment is made to amortize the over- or under-accruals. Because in these proceedings the difference is significantly larger than that ten percent, I do recommend amortization be established in these cases. Generally, Staff has recommended amortizing only the portion of the deficiency outside the 10 percent band and this treatment has been included in several recent joint proposals adopted by the Commission. Such as in the 2023 Con Ed Rate Order.

Q. Do you agree with the Companies' calculated theoretical reserve differences?

A. No.

Q. Why not?

A. I recommend different depreciation factors than the Companies propose. Reflecting my

recommended depreciation factors results in different theoretical reserves and therefore different book to theoretical reserve imbalances.

Q. What effect do your recommended changes to the depreciation factors have on the book to theoretical reserve differences?

A. My adjustments to depreciation factors decrease the proposed gas book to theoretical reserve deficiency from approximately $397.968 million to $279.956 million, a difference of $118.012 million for KEDNY, and from approximately $595.015 million to $419.853 million, a difference of $175.162 million for KEDLI. Exhibit___(PJD-6) contains a comparison of plant surpluses or deficiencies by account. The changes I recommend result in a book to theoretical reserve deficiency of approximately 19 percent for KEDNY and 51 percent for KEDLI. Because the book to theoretical reserve deficiencies falls outside the ten percent tolerance band generally supported by the Commission, I recommend that amortizations be implemented in these proceedings as the

Companies have proposed, beginning in FY 26 to mitigate the rate impacts. Due to the Companies proposals beginning recovery in FY 26, there are no Rate Year impacts associated with these proposed changes.

**LPP Proposal**

Q. Have you reviewed KEDNY's proposals regarding setting up amortizations of its LPP?

A. Yes, KEDNY proposes an amortization of $14.283 million each year, beginning in the Rate Year, over a 20-year period to remove the estimated remaining net book cost of its LPP from its books by the end of that period. This period closely corresponds with the period during which the LPP is presently estimated to be fully removed from service and is consistent with the process established for KEDLI in the prior proceeding.

Q. Do you agree with this proposal and the method employed by KEDNY?

A. Yes. It is reasonable to remove the estimated net book cost of the LPP from the KEDNY's books over the expected timeframe of the removal program to reduce intergenerational inequities

that would be caused by its continued presence in rate base. As mentioned, this treatment has already been approved at KEDLI in the prior proceeding. Besides the last KEDLI case, this treatment has also been employed at other utilities in the State through various rate proceedings such as in the 2023 Con Ed Rate Order.

**Gas Planning Proceeding - Recovery**

Q. Are you familiar with the Companies' filings made in November 2022 in the Gas Planning Proceeding, Case 20-G-0131, which provide various scenarios of how the States decarbonization policies may impact depreciation expense, utility revenues, and customer bills?

A. Yes. I have reviewed the filings. I have also reviewed Mr. Allis' testimony in these proceedings which discusses two of such scenarios using the units of production method of depreciation, filed in the Gas Planning Proceeding for KEDNY and KEDLY.

Q. What are your thoughts on Mr. Allis's testimony regarding the potential impact of the Climate Leadership and Community Protection Act, or

CLCPA?

A. Although well-reasoned, the scenarios discussed in Mr. Allis's testimony and filed in the Gas Planning Proceeding are not definitive in nature and only a few of the many possible scenarios that may play out. As the Gas Planning Proceeding is in progress, I anticipate that the Commission will develop a path forward through that proceeding. I therefore am not testifying to the merits or issues surrounding the unit of production method discussed in the testimony of Mr. Allis in these proceedings. And while I agree that there is potential for the future of the gas system to be different than the past if the State is to meet the CLCPA goals, I also agree with the Companies that the appropriate venue for the furtherance of deliberation of potential changes is through the Gas Planning Proceeding. It is likely the Commission would prescribe a method to recovery costs associated with any policy change through that proceeding. I therefore do not recommend the establishment of a mechanism to recover costs associated with a potential Order in the Gas Planning Proceeding

in the instant proceedings in the event of a multi-year rate plan.

Q. Does this conclude your testimony at this time?

A. Yes. Thank you.